CASCADIA ANALYTICS

Centrus Energy

Equity Research Note | LEU | October 21, 2026

Piketon Expansion Burdens Near-Term Cash Flow as Market Disregards Funding Realities

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Centrus Energy commands an indispensable position as a domestic supplier of low-enriched uranium fuel, yet the market has priced multi-year commercial deployment without accounting for non-capitalizable cost inflation and severe contract cliffs. While headline backlog reached $4.5B and unrestricted cash sits at $1.96B, operational earnings remain volatile, marked by gross losses in core segments and near-term operating cash outflows. We establish a Hold recommendation anchored on fundamental discounted cash flow scenarios that yield a probability-weighted blended price target of $82.49, representing -25.4% upside relative to the reference spot price.

HOLD	$82.49	-25.4%	$110.55
Hold — Valuation Concerns	BLENDED TARGET	BLENDED UPSIDE	REFERENCE PRICE
INVESTMENT RATING			

Equity markets have aggressively capitalized long-term order books and headline government awards, overlooking the operational reality that advanced technology spending and inventory accumulations continue to suppress GAAP profitability. The operational transition toward expanded enrichment cascades requires substantial ongoing reinvestment that limits free cash flow conversion across our forecast window.

Executive summary

Centrus Energy operates as a US uranium enrichment company supplying low-enriched uranium fuel to commercial nuclear power plants. The operational structure functions across two primary divisions, comprising the supply of low-enriched uranium fuel through separative work units and uranium sales, alongside the Technical Solutions segment focused on advanced enrichment deployment. The strategic profile of Centrus Energy derives from its position within domestic nuclear infrastructure, underpinned by proprietary enrichment capability and long-term customer utility commitments that extend out to 2040.

Recent operational results highlight the pronounced tension between commercial backlog expansion and realized conversion economics. In Q2 FY2026, top-line revenue expanded 14% year over year to $176.1M, bolstered by a $53.4M uranium sale that masked a 23% volume contraction in core separative work units. GAAP net income contracted 42% year over year to $16.8M, driven by non-capitalizable expansion overhead, even as total order backlog expanded to $4.5B following the signing of the $900M Department of Energy HALEU award. This performance followed Q1 FY2026, where revenue stood at $76.7M while GAAP net income fell 63% to $10.0M due to advanced technology expenditures reaching $18.9M, producing an operating cash flow deficit of -$35.1M.

Historical trends during FY2025 further expose structural quarterly volatility across pricing and product mix. In Q3 FY2025, an average SWU price collapse of 69% caused a gross loss of $4.3M and an LEU segment gross loss of $7.8M, generating GAAP net income of only $3.9M despite $34.1M in opportunistic uranium sales. For full-year FY2025, revenue grew 1.5% to $448.7M, delivering gross profit of $117.5M, operating income of $50.2M, and free cash flow of $31.3M. The capital structure was substantially altered through financing transactions, elevating unrestricted cash to $1.96B against total debt of $1.22B, generating a net cash posture of $742.0M.

Valuation multiples fully reflect this accumulated liquid capital, with Centrus Energy trading at 28.3x latest fiscal year diluted earnings per share, 6.0x revenue, and 17.8x enterprise value to EBITDA based on a market capitalisation of $2.70B at the reference spot price of $110.55. With the Department of Energy currently excluding post-FY2026 cascade expansion funding, exposing approximately $0.8B of Technical Solutions backlog to programmatic risk, the current equity valuation leaves insufficient safety margin for multi-year execution hurdles.

Operational snapshot

$110.55	$448.7M	$31.3M	7.0%	1.39	$110.55
REF. PRICE	FY2025 REVENUE	FY2025 FREE CASH FLOW	FCF MARGIN	EQUITY BETA	REF. CLOSE

Fiscal-year figures as reported in company filings and collected by Cascadia Analytics; ref. price as of 2026-10-29.

The moat is Regulatory and Technological

Centrus Energy maintains a specialized competitive standing as a domestic entity providing enriched uranium fuel products. As a supplier of low-enriched uranium fuel to nuclear power plants, the company operates within an industry defined by stringent regulatory oversight, capital-intensive manufacturing prerequisites, and severe non-proliferation restrictions. The domestic nuclear power generation base requires secure nuclear fuel cycle services, creating profound commercial inertia and elevated customer switching costs across utility procurement departments.

The technological dimension of the company moat centers on advanced enrichment infrastructure located across facilities in Piketon and Oak Ridge. Centrus Energy received a sole-source notification from the National Nuclear Security Administration, confirming the exclusive positioning of its domestic technology base. The operational validation provided by the completed $900M Department of Energy HALEU production award signed on January 5, 2026, alongside construction of the initial new Oak Ridge centrifuge expected complete by year-end 2026, highlights technical barriers that prevent standard merchant market entry.

Pricing power across the primary fuel supply agreements exhibits significant cyclical divergence. While average SWU prices surged 52% year over year in Q1 FY2026, counterbalancing a 47% volume reduction, the business previously experienced a 69% contraction in average SWU pricing during Q3 FY2025. Total backlog of $4.5B, which extends to 2040, provides operational visibility, yet $3.0B of this volume remains contingent on Piketon commercial capacity execution, illustrating that contract realization is deeply intertwined with physical plant milestones.

Customer retention remains fortified by long-term procurement frameworks and strategic commercial alignments. International agreements with entities such as KHNP and POSCO International reflect institutional alignment for potential Piketon deployment. However, because domestic enrichment cascades require continuous operational execution, any interruption in public funding frameworks or production performance directly impacts the durability of customer delivery commitments.

Valuation

Three scenarios make the valuation range explicit

Our quantitative valuation architecture uses a three-stage discounted cash flow framework covering the forecast window from FY2026 through FY2030, anchored against verified operational metrics. The baseline projection models an 8.6% revenue compound annual growth rate through FY2030, driven by the conversion of firm contractual backlog, paired with a target free cash flow margin normalizing to 9.8% in the final forecast year. Cash flow generation across the initial projection years reflects ongoing capital outlays and non-capitalizable advanced engineering overhead required to build out centrifuge manufacturing capacity.

Discounting is executed using a verified weighted average cost of capital of 8.36%, reflecting an equity beta input of 1.39 and an operational net cash position of $742.0M. The terminal regime incorporates an institutional long-term growth rate of 2.5%, matching normalized domestic macroeconomic trajectory. Equity value is distributed across 24.4 million diluted shares, resulting in our explicit scenario outputs.

SCENARIO	WEIGHT	REVENUE CAGR	TARGET FCF MARGIN	TARGET	UPSIDE
Bear	25%	5.0%	5.2%	$47.11	-57.4%
Base	50%	8.6%	9.8%	$78.30	-29.2%
Bull	25%	12.9%	14.2%	$126.26	+14.2%

Bear $47.11

The Department of Energy funding cliff materializes as cascade options go unexercised, impairing roughly $0.8B of Technical Solutions backlog. Severe advanced technology overhead and inventory builds depress cash generation, resulting in a 5.0% revenue CAGR and a compressed 5.2% final-year FCF margin that produces a valuation of $47.11.

Base $78.30

Centrus Energy delivers steady commercial execution against core commitments, achieving an 8.6% revenue CAGR through FY2030. Operating efficiencies mitigate non-capitalizable expansion overhead, lifting terminal forecast FCF margins to 9.8% and establishing a base-case intrinsic equity value of $78.30 per share.

Bull $126.26

Flawless deployment across the Piketon and Oak Ridge facilities activates contingent customer commitments, driving a 12.9% revenue CAGR. Operational leverage expands cash generation toward a 14.2% terminal FCF margin, resulting in a bull-case target of $126.26.

Valuation framework

A live discount rate, not a static hurdle

The enterprise discount rate is calculated at 8.36% based on a rigorous capital asset pricing framework. The model applies an equity beta of 1.39, capturing the elevated volatility inherent in nuclear enrichment services, public sector contract renegotiations, and large-scale plant construction risk. While total debt stands at $1.22B, the balance sheet maintains $1.96B in cash balances, establishing negative net leverage that partially insulates the capital structure from debt service pressures.

This hurdle rate incorporates structural execution hazards associated with complex industrial facilities. Centrus Energy operates in an industry subject to shifts in federal budgetary appropriations and regulatory licensing standards. Consequently, our quantitative framework requires an 8.36% return hurdle to compensate equity capital for cyclical gross margin compression and high non-capitalizable development costs.

FCF margin normalization is the engine

Free cash flow conversion represents the central analytical challenge in valuing Centrus Energy. For FY2025, the company delivered $31.3M of free cash flow on revenue of $448.7M, yielding an initial FCF margin of 7.0%. Cash conversion experienced substantial disruption during early FY2026, underscored by operating cash flow swinging to -$35.1M in Q1 FY2026 due to a $48.8M inventory build and accelerated project spending.

Over the multi-year forecast window through FY2030, cash generation shifts dynamically across operating cases. Under the bear case, free cash flow margins deteriorate to 5.2% as public funding support recedes and high expansion overhead persists without commensurate top-line scaling. Conversely, the base case models margin stabilization reaching 9.8% as Piketon infrastructure matures, while the bull case realizes 14.2% free cash flow margins through commercial scale efficiencies and prepayment realizations.

Mechanics are explicit

Revenue becomes EBIT, cash taxes come out, then we add back D&A, subtract CapEx and the change in net working capital to reach unlevered free cash flow, which we discount and divide by diluted shares.

> **Methodology.** Detailed EBIT-bridge DCF on three scenarios, probability-weighted 25/50/25. Beta decays toward a mature peer over the forecast. Terminal value via Gordon growth. Targets are model-computed, not estimated.

KEY VALUATION PARAMETERS

Forecast window	**FY2026 to FY2030**
Live WACC	**8.36% (2026-10-29)**
Terminal growth	**2.5%**
Equity beta	**1.39**
Diluted shares	**24.4 million**

HOLD

over $82.49 blended target

Competitive moat and concentration risk

We rate the moat as Narrow and we view the market structure as Domestic HALEU monopoly inside a global enrichment oligopoly. We assign a premium of +10% to sector median multiples on moat strength alone.

- regulatory/licensing barrier + DOE-backed chokepoint, the $900m DOE HALEU contract signed 1 Jul 2026 and three new HALEU supply contracts (X-energy 6 Aug 2026, Radiant 9 Sep 2026, Antares 17 Sep 2026, per Quantabundance 4 Oct 2026).
- mixed, and the mix matters. Q1 2026, SWU volume sold fell 47% YoY but average SWU selling price jumped 52%, partly offsetting it (TradingView/Zacks, Q1 2026 results).
- The weakest element is the moat is a demo-scale niche, not a scaled commercial business, commercial-scale output is years away and the build-out runs into the 2030s (Quantabundance, Oct 2026); plus commodity exposure in the legacy LEU/SWU business.

On a multiple cross-check, the justified range is EV/EBITDA 9.5-10.4×; P/E 18.3-20.0×. The cross-check value is ~$80 pt forward ($77-$84); ~$51 terminal, on a base of $4.19 forward (median 2020-2025, also 2022-2025); terminal-converted $2.68. The gap verdict is SPLIT, survives forward (~53% at point), collapses to ~0% on terminal lens.

This figure uses the normalized base from the October 27 recheck, not the original boom-year base.

Backlog is $4.5bn through 2040, 30 Jun 2026, with coverage of 9.5 years vs TTM revenue and visibility rated High. On backlog alone, the stance is Supports direction, model assumes only a fraction converts in the forecast window.

We score concentration and credit risk across seven families, where a High score is 8 points, a Medium score is 4 points, and a Low score is 1 point.

Risk family	Score
customer concentration	8 points
counterparty credit and funding dependence	4 points
single product, single program, or single platform dependency	8 points
single supplier, single fab, or single geography exposure	8 points
platform, channel, or distribution dependency	1 points
customer insourcing risk	1 points
regulatory single point risk	8 points

The combined discount is 20 percent, capped at 20 percent, against an uncapped total of 38 percent. Shown side by side with the moat premium or discount, the net stance is -10 pp points arithmetically. We do not net these figures into a new target, and we do not double count a family excluded under the double-count rule.

The ladder ranks risk coarsely, and because 32 of the 47 names reach the 20 percent cap, the combined discount is not a mechanical valuation haircut until the ladder is recalibrated.

On the gap to spot, the concentration assessment reads as follows. Not at all

Both the moat premium or discount and the concentration discount are multiple and risk cross-checks dated October 27, 2026, and neither figure is in the DCF target itself. Cross-check figures were computed against the Base in the October 27 framework, so they may differ from a live Base that has since moved.

Business & segment drivers

Revenue prospects anchor on LEU Supply Contracts and Technical Solutions Deployment HOLD

The operational trajectory of Centrus Energy relies primarily on its LEU fuel supply franchise and the ongoing expansion of the Technical Solutions segment. The low-enriched uranium fuel business generates revenue via long-term supply arrangements with commercial nuclear plant operators, encompassing separative work units and natural uranium transactions. Although revenue expanded 14% to $176.1M in Q2 FY2026, top-line performance was elevated by an opportunistic $53.4M uranium delivery that compensated for a 23% contraction in baseline SWU volume.

Technical Solutions functions as the specialized engineering and enrichment deployment division. Segment revenue grew 47% year over year in Q1 FY2026 to $32.1M, supported by activity under advanced technology contracts. However, profitability across this division remains acutely exposed to public sector expenditure cycles. The segment sustained a $1.7M gross loss in Q2 FY2026, mirroring full-year FY2025 results where Technical Solutions gross profit declined 66% to $6.0M.

The company expanded capital commitments throughout FY2026, establishing planned capital deployment of $350-500M to advance production readiness at Piketon and Oak Ridge. In parallel, management revised FY2026 revenue guidance upward to a range of $450-500M from an earlier forecast of $425-475M. Achieving the $475M midpoint implies approximately 5.8% growth over FY2025 revenue of $448.7M, demonstrating modest near-term commercial acceleration relative to the multi-billion dollar expansion program.

Supply chain integration and operational cost mitigation have been formalized through strategic vendor collaborations. Centrus Energy instituted a partnership with Palantir targeting approximately $300M in operational cost savings. Concurrently, hiring guidance was elevated to 175 net new personnel at the Piketon facility to support cascade operationalization, illustrating the ongoing ramp in operational overhead required to execute backlogged customer commitments.

What to monitor

- **Department of Energy Cascade Funding Appropriations** The formal exclusion of cascade deployment funding within the FY27 federal budget exposes approximately $0.8B in Technical Solutions order backlog to contract cancellation or timeline deferral.
- **Advanced Technology Expenditure Run-Rates** Non-capitalizable development expenditures expanded by $7.5M in Q2 FY2026 after surging to $18.9M in Q1 FY2026, establishing a persistent drag on reported GAAP margins.
- **Piketon Centrifuge Deployment Milestones** Progress toward completing the first new Oak Ridge centrifuge by year-end 2026 serves as the primary operational gateway for unlocking $3.0B in contingent backlog.
- **Working Capital and Inventory Absorption** Following a $48.8M inventory build in Q1 FY2026 that drove operating cash flow to -$35.1M, inventory conversion rates dictate the company ability to self-fund planned $350-500M capital outlays.

+1.5%	26.2%	11.2%	7.0%	$742.0M	10.2%
FY2025 REVENUE GROWTH	GROSS MARGIN	OPERATING MARGIN	FCF MARGIN	NET CASH	RETURN ON EQUITY

METRIC	FY2025 (AS REPORTED)
Revenue	$448.7M
Gross Profit	$117.5M
EBIT	$50.2M
Net Income	$77.8M
EBITDA	$109.8M
Free Cash Flow	$31.3M
Diluted EPS	$3.90
ROE	10.2%

Risk & moat matrix

The bear case

SHARE EROSION

Centrus Energy faces underlying volume volatility across core enrichment operations, evidenced by SWU shipment volumes dropping 47% in Q1 FY2026 and 23% in Q2 FY2026. Prolonged delivery contractions undermine core market share if non-contingent

M&A DIGESTION

While large acquisitions have been avoided, integrating major operational joint development initiatives presents meaningful organizational friction. Complex coordination with international industrial partners such as KHNP and POSCO International absorbs

REGULATORY AND PRICING SCRUTINY

Federal appropriations risk remains high as the Department of Energy indicated it does not intend to exercise additional cascade options. With federal FY27 budget plans omitting expansion capital, roughly $0.8B of Technical Solutions backlog faces severe

TECHNOLOGY DISRUPTION

Delays in commercializing domestic enrichment cascades could impair customer adoption schedules. Any physical engineering setbacks during the fabrication of the initial Oak Ridge centrifuge, targeted for completion by year-end 2026, would directly stall contingent commercial activations.

REINVESTMENT TREADMILL

Planned capital deployment ranging between $350M and $500M across 2026 severely constrains intermediate cash conversion. When paired with elevated SG&A and research expenses, sustained capital absorption prevents operational earnings from flowing efficiently to shareholders.

WACC AND DURATION SENSITIVITY

With an equity beta of 1.39 and cash flows heavily backloaded into outer forecast periods, equity valuation exhibits acute sensitivity to cost of capital adjustments. Any macro-driven increase in the 8.36% discount hurdle severely degrades the discounted

commercial utility commitments fail to replenish retiring fuel contracts.

critical project management resources during plant scale-up.

execution barriers.

value of the $4.5B backlog.

The strengths

OLIGOPOLY POSITION

Centrus Energy functions as an exclusive domestic enrichment provider with an active sole-source notification from the National Nuclear Security Administration. This exclusive positioning shields the enterprise from conventional domestic market entry while securing long-term defense and commercial viability.

FCF COMPOUNDING

Long-term cash generation upside is underpinned by a massive $4.5B order book extending across global utilities through 2040. As cascade manufacturing reaches maturity, the business targets final-period free cash flow margins of 9.8% under base assumptions and 14.2% in bull projections.

GEOGRAPHIC DURABILITY

The enterprise maintains vital operational hubs in Piketon and Oak Ridge that form the core of domestic nuclear enrichment revitalization. Domestic enrichment assets enjoy significant shielding via federal import waivers secured for 2026-2027 Russian delivery commitments, preserving revenue continuity during transition phases.

PIPELINE OPTIONALITY

Total contracted backlog encompasses $3.0B in contingent commitments alongside the formalized $900M Department of Energy HALEU production contract. The introduction of initial commercial agreements with prepayment options establishes meaningful non-dilutive liquidity upside as commercial deployment accelerates.

The bottom line on risk and reward

Centrus Energy stands at a pivotal junction, transitioning from an asset-light nuclear fuel intermediary into an operational domestic enrichment manufacturer. The successful closing of the $900M Department of Energy HALEU contract, combined with a cash position of $1.96B and a total order backlog of $4.5B, solidifies the enterprise as an essential pillar of US nuclear fuel security. These distinct advantages provide vital operational runway as management navigates the complex build-out of enrichment cascades in Piketon and centrifuge production in Oak Ridge.

Nevertheless, financial performance remains burdened by non-capitalizable advanced engineering costs, periodic gross margin inversions, and an adverse federal budgetary posture

that excludes post-FY2026 cascade expansion appropriations. With operating cash flow exhibiting quarterly swings into negative territory, including -$35.1M in Q1 FY2026, the company capital reinvestment requirements will restrict near-term cash distribution. The market valuation of $2.70B, which prices shares at 28.3x latest fiscal year diluted earnings per share, has outpaced intermediate operational fundamentals.

Our probability-weighted quantitative framework, blending a Bear scenario of $47.11 (25% weight), a Base scenario of $78.30 (50% weight), and a Bull scenario of $126.26 (25% weight), establishes an equity price target of $82.49. Compared against the reference spot price of $110.55 as of October 29, 2026, this valuation implies -25.4% upside. Accordingly, we reiterate our Hold — Valuation Concerns recommendation until physical cascade deployment yields verifiable, compounding free cash flow.

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Franchise deep dive

Low-Enriched Uranium Fuel: Commercial Utility Supply and Enrichment Dynamics

The primary commercial foundation of Centrus Energy rests upon supplying low-enriched uranium fuel to commercial nuclear power generating stations. Fuel distribution operates primarily through separative work units alongside direct sales of natural uranium components. The operational economics of this core franchise depend on securing long-term utility commitments, coordinating complex nuclear material logistics, and navigating structural fluctuations in underlying SWU pricing cycles.

Recent operational performance demonstrates how transactional volume shifts impact segment margins. During Q2 FY2026, top-line fuel revenue was supported by a substantial $53.4M uranium transaction, which offset a 23% contraction in baseline SWU volume. Similar transactional reliance occurred in Q3 FY2025, where a $34.1M uranium sale masked a $24.1M drop in SWU revenue that occurred alongside a 69% decline in average realized SWU prices, causing a $7.8M LEU segment gross loss.

Conversely, pricing realization can experience dramatic upward inflections depending on contract delivery schedules. In Q1 FY2026, the company average SWU realized price surged 52% year over year, effectively neutralizing an underlying 47% contraction in SWU delivery volume. This profound pricing sensitivity underscores the lumpiness of utility refueling cycles and highlights the necessity of expanding domestic enrichment infrastructure to capture steady commercial delivery profiles.

Capitalizing on this market need, Centrus Energy is directing its liquid reserves toward scaling centrifuge capacity at Piketon and Oak Ridge. With unrestricted cash reserves standing at $1.96B following an $805M convertible debt offering and prior equity issuances, financing hurdles have been significantly reduced. However, translating this capital cushion into recurring

operating profitability requires sustained operational execution across long-term utility contracts extending through 2040.

What the recent record shows

- Average SWU pricing fluctuated sharply across recent quarters, falling 69% in Q3 FY2025 before surging 52% year over year in Q1 FY2026.
- Supply continuity was reinforced through secured US import waivers covering 2026-2027 Russian committed deliveries.
- Total contractual backlog climbed from $3.7B at year-end 2024 to $3.8B in Q4 FY2025, $3.9B in Q1 FY2026, and reached $4.5B in Q2 FY2026.
- Contingent commercial backlog commitments tied specifically to Piketon expansion execution rose from $2.4B in Q1 FY2026 to $3.0B in Q2 FY2026.

> **Our read:** The low-enriched uranium fuel business remains a high-barrier commercial franchise supported by extensive long-term utility commitments. However, extreme margin volatility driven by fluctuating SWU prices and volume declines highlights that equity values cannot rely solely on backlog metrics without steady manufacturing execution.